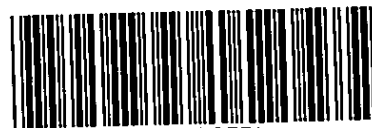


ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

Directors' Report and Accounts

for the year ended 31 March 2013

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ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

COMPANY INFORMATION

Directors	Mr N Baker Mr N Kent Mr B Lantorp Mr E Fraser Mr N Curham
Secretary	Mr N Baker
Company Number	07160664
Registered Office	Enterprise House Beeson's Yard Bury Lane Rickmansworth Herts WD3 1DS
Auditors	Dickinsons Chartered Accountants Enterprise House Beeson's Yard Bury Lane Rickmansworth Herts WD3 1DS
Bankers	HSBC Bank Plc 28 Borough High Street Southwark London SE1 1YB

CONTENTS

	Page
Directors' report	1 - 2
Auditors' report	3
Consolidated profit and loss account	4
Consolidated statement of total recognised gains and losses	5
Consolidated balance sheet	6
Company balance sheet	7
Consolidated cash flow statement	8
Notes forming part of the consolidated cash flow statement	9 - 10
Notes forming part of the accounts	11 - 21

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 31 MARCH 2013

The directors present their report and the audited accounts of the group for the year ended 31 March 2013

Principal activities and review of the business

The principal activity of the company continued to be that of a holding company. The principal activities of the subsidiary undertakings are the provision of consulting and related services to clients in the asset and wealth management industries.

The group made strong progress during the year. Turnover increased 38% from £10.2 million to £14.2 million and operating profit increased 38% from £1.3 million to £1.8 million. All four offices, London, Paris, Luxembourg and New York contributed to this growth. Debtors have grown considerably during the year from £3.4 million to £6 million reflecting an increase in the working capital requirement due to revenue growth and a particularly strong final quarter. There are no concerns over the recoverability of debtors.

Results and dividends

The results of the group for the year are set out on page 4.

An interim ordinary dividend was paid amounting to £424,957 (2012: £Nil). The directors do not recommend payment of a final dividend (2012: £Nil).

After deducting taxation and dividends, the amount of £766,940 (2012: £751,286 as restated) has been transferred to reserves.

Future developments

The business plan developed by the directors shows substantial growth is expected in the business in the forthcoming year. The directors are confident of achieving their plan based on the level of on-going work at the start of the financial year, the level of work already sold but still to be delivered and the strong pipeline of future opportunities. These indicators are at historically high levels for the group.

Key performance indicators

The directors monitor performance on both a weekly and a monthly basis using a range of financial and non financial indicators. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cashflow, liquidity and the recovery of trade debtors.

Each month the directors review the management accounts for each group undertaking and compare actual performance against budget. Costs are also reviewed to monitor profitability.

Principal risks

The performance of the group is subject to only limited risk in the short and medium term as the future pipeline of work is very strong. The group continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth in the business. Management continue to operate conservative cash management policies.

Purchase of own shares

On 29 May 2012, the shareholders approved the repurchase and subsequent cancellation of 55,000 Ordinary 'B' shares of £1 each for a total cash consideration of £55,000.

On 26 March 2013, the shareholders approved the repurchase and subsequent cancellation of a further 16,875 Ordinary 'B' shares of £1 each for a total cash consideration of £16,875.

Directors

The following directors have held office since 1 April 2012:

Mr N Baker
Mr N Kent
Mr B Lantorp
Mr E Fraser
Mr N Curham

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 31 MARCH 2013

Statement of directors' responsibilities

The directors are responsible for preparing the Directors' Report and the accounts in accordance with applicable law and regulations

Company law requires the directors to prepare accounts for each financial year. Under that law the directors have elected to prepare the accounts in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the accounts unless they are satisfied that they give a true and fair view of the state of affairs of the group and the parent company and of the profit or loss of the group and the parent company for that period. In preparing these accounts the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and accounting estimates that are reasonable and prudent,
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the accounts,
- prepare the accounts on the going concern basis unless it is inappropriate to presume that the company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure them that the accounts comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

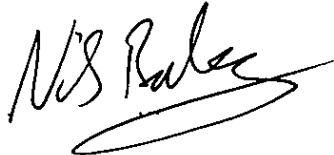
Statement of disclosure to the auditors

So far as the directors are aware, there is no relevant audit information of which the company's auditors are unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the group's auditors are aware of that information.

Auditors

In accordance with the company's articles, a resolution proposing that Dickinsons be reappointed as auditors of the company at the forthcoming Annual General Meeting

By Order of the Board



Mr N Baker

Secretary

1st October 2013

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

INDEPENDENT AUDITORS' REPORT

TO THE MEMBERS OF ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

We have audited the accounts of Alpha Financial Markets Consulting Group Limited for the year ended 31 March 2013 which comprise the Group Profit and Loss Account, the Group and Parent Company Balance Sheets, the Group Cash Flow Statement, the Group Statement of Total Recognised Gains and Losses and the related notes. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of the directors and auditors

As explained more fully in the Directors' Responsibilities Statement set out on page 2, the directors are responsible for the preparation of the accounts and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the accounts in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the accounts

An audit involves obtaining evidence about the amounts and disclosures in the accounts sufficient to give reasonable assurance that the accounts are free from material misstatement, whether caused by fraud or error. This includes an assessment of whether the accounting policies are appropriate to the group's and the parent company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the directors, and the overall presentation of the accounts.

In addition, we read all the financial and non-financial information in the directors' report to identify material inconsistencies with the audited accounts. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

Opinion on accounts

In our opinion the accounts

- give a true and fair view of the state of the group's and the parent company's affairs as at 31 March 2013 and of the group's profit for the year then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006.

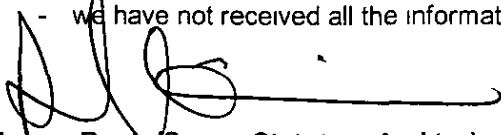
Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial year for which the accounts are prepared is consistent with the accounts.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us, or
- the parent company accounts are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit.



James Birch (Senior Statutory Auditor)
For and on behalf of Dickinsons
Statutory Auditor

Date 1st October 2013

Enterprise House
Beeson's Yard
Bury Lane
Rickmansworth
Herts
WD3 1DS

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

CONSOLIDATED PROFIT AND LOSS ACCOUNT

FOR THE YEAR ENDED 31 MARCH 2013

	Notes	2013 £	2012 as restated £
Turnover	2	14,173,448	10,239,258
Cost of sales		(10,380,345)	(6,740,814)
Gross profit		3,793,103	3,498,444
Administrative expenses		(2,006,329)	(2,149,143)
Other operating income		11,975	-
Operating profit	3	1,798,749	1,349,301
Interest receivable and similar income	4	1,484	2,084
Interest payable and similar charges	5	(2,898)	(647)
Profit on ordinary activities before taxation		1,797,335	1,350,738
Tax on profit on ordinary activities	6	(569,410)	(542,380)
Profit for the financial year		1,227,925	808,358
Minority interest		(36,028)	(57,072)
Profit attributable to group members	23	1,191,897	751,286

The notes on pages 11 to 21 form part of these accounts

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

CONSOLIDATED STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES

FOR THE YEAR ENDED 31 MARCH 2013

	Notes	2013 £	2012 as restated £
Profit for the financial year		1,191,897	751,286
Prior period adjustment	24	(72,990)	-
Total gains and losses recognised since the last accounts		<u>1,118,907</u> =====	<u>751,286</u> =====

The notes on pages 11 to 21 form part of these accounts

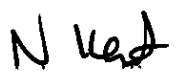
ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

CONSOLIDATED BALANCE SHEET

AS AT 31 MARCH 2013

		2013		2012 as restated	
	Notes	£	£	£	£
Fixed assets					
Intangible assets	10		5,513,605		5,844,561
Tangible assets	11		53,380		61,616
			<u>5,566,985</u>		<u>5,906,177</u>
Current assets					
Debtors	14	6,019,684		3,390,645	
Cash at bank and in hand		930,183		1,620,605	
		<u>6,949,867</u>		<u>5,011,250</u>	
Creditors amounts falling due within one year	15	(3,647,920)		(3,458,570)	
Net current assets			3,301,947		1,552,680
Total assets less current liabilities			<u>8,868,932</u>		<u>7,458,857</u>
Creditors amounts falling due after more than one year	16		-		(70,000)
Net assets			<u>8,868,932</u>		<u>7,388,857</u>
			=====		=====
Capital and reserves					
Called up share capital	21		6,030,383		6,075,610
Share premium account	23		31,394		339
Other reserves	23		886,758		96,040
Minority interests			164,550		156,086
Profit and loss account	23		1,755,847		1,060,782
Shareholders' funds	25		<u>8,868,932</u>		<u>7,388,857</u>
			=====		=====

These accounts were approved by the board and authorised for issue on 1st October 2013


Mr N Kent
Director

Company Registration No 07160664

The notes on pages 11 to 21 form part of these accounts

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

COMPANY BALANCE SHEET

AS AT 31 MARCH 2013

		2013		2012 as restated	
	Notes	£	£	£	£
Fixed assets					
Investments	13		10,328,198		9,588,856
Current assets					
Debtors	14	307,021		250,592	
Cash at bank and in hand		102,549		43,041	
		<u>409,570</u>		<u>293,633</u>	
Creditors: amounts falling due within one year	15	(310,229)		(537,595)	
Net current assets/(liabilities)			99,341		(243,962)
Total assets less current liabilities			<u>10,427,539</u>		<u>9,344,894</u>
Creditors: amounts falling due after more than one year	16		-		(70,000)
Net assets			<u>10,427,539</u> =====		<u>9,274,894</u> =====
Capital and reserves					
Called up share capital	21		6,030,383		6,075,610
Share premium account	22		31,394		339
Other reserves	22		886,758		96,040
Profit and loss account	22		3,479,004		3,102,905
Shareholders' funds			<u>10,427,539</u> =====		<u>9,274,894</u> =====

These accounts were approved by the board and authorised for issue on 1st October 2013


Mr N Kent
Director

Company Registration No 07160664

The notes on pages 11 to 21 form part of these accounts

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

CONSOLIDATED CASH FLOW STATEMENT

FOR THE YEAR ENDED 31 MARCH 2013

		2013		2012 as restated	
	Notes	£	£	£	£
Net cash inflow from operating activities	1		701,871		211,879
Returns on investments and servicing of finance					
Interest received		1,484		2,084	
Interest paid		(2,898)		(647)	
Net cash (outflow)/inflow for returns on investments and servicing of finance			(1,414)		1,437
Taxation			(780,160)		(333,211)
Acquisitions and disposals					
Purchase of subsidiary undertakings	4	(20,500)		(475,991)	
Net cash outflow for acquisitions and disposals			(20,500)		(475,991)
Capital expenditure					
Payments to acquire tangible fixed assets		(26,951)		(33,361)	
Receipts from sales of tangible fixed assets		861		(72)	
Net cash outflow for capital expenditure			(26,090)		(33,433)
Equity dividends paid			(424,957)		-
Financing					
Proceeds from the issue of ordinary share capital		57,703		170,951	
Cost of purchase of own shares		(71,875)		(110,000)	
Issue and purchase of shares		(14,172)		60,951	
Other new long term loans		-		70,000	
Other new short term loans		-		125,000	
Repayment of other short term loans		(125,000)		-	
Net cash (outflow)/inflow from financing			(139,172)		255,951
Decrease in cash in the year	3		(690,422)		(373,368)
			=====		=====

The notes on pages 9 and 10 form part of the cash flow statement

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE CASH FLOW STATEMENT

FOR THE YEAR ENDED 31 MARCH 2013

1	Reconciliation of operating profit to net cash inflow from operating activities	Group 2013	Group 2012 as restated
		£	£
	Operating profit	1,798,749	1,349,301
	Depreciation of tangible fixed assets	32,806	33,468
	Amortisation of intangible fixed assets	323,892	322,994
	Loss on disposal of tangible fixed assets	1,519	72
	Increase in debtors	(2,463,589)	(1,493,608)
	Increase/(decrease) in creditors	289,651	(96,388)
	Share-based payment transactions	718,843	96,040
	Net cash inflow from operating activities	<u>701,871</u> =====	<u>211,879</u> =====
2	Analysis of net funds		
		At 1 April 2012 £	Cash flow £
	Net cash		At 31 March 2013 £
	Cash at bank and in hand	1,620,605	(690,422)
			930,183
	Debt		
	Debts falling due within one year	(125,000)	55,000
	Debts falling due after one year	(70,000)	70,000
			(70,000)
			-
	Net funds	<u>1,425,605</u> =====	<u>(565,422)</u> =====
			<u>860,183</u> =====
3	Reconciliation of net cash flow to the movement in net funds		
		2013 £	2012 £
	Decrease in cash in the year	(690,422)	(373,368)
	Cash outflow/(inflow) from decrease/(increase) in debt	125,000	(195,000)
	Movement in net funds in the year	<u>(565,422)</u>	<u>(568,368)</u>
	Opening net funds	1,425,605	1,993,973
	Closing net funds	<u>860,183</u> =====	<u>1,425,605</u> =====

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE CASH FLOW STATEMENT (CONTINUED)

FOR THE YEAR ENDED 31 MARCH 2013

4 Purchase of subsidiary undertakings

	2013 £	2012 £
Net assets acquired		
Tangible fixed assets	860	2,629
Trade debtors	29,445	364,318
Other debtors	6,995	55,181
Cash at bank and in hand	12,518	271,615
Trade creditors	(4,248)	(109,851)
Other creditors	(18,007)	(270,535)
Deferred tax liability	-	(242)
	<u>27,563</u>	<u>313,357</u>
Goodwill	(7,063)	475,891
	<u>20,500</u>	<u>789,248</u>
	=====	=====
Satisfied by		
Cash	20,500	623,333
Shares	-	165,915
	<u>20,500</u>	<u>789,248</u>
	=====	=====

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE ACCOUNTS

FOR THE YEAR ENDED 31 MARCH 2013

1 Accounting Policies

Accounting convention

The accounts are prepared under the historical cost convention

Changes in accounting policies

The group has adopted FRS 20 'Share-Based Payment', owing to the fact that it is no longer eligible to apply the Financial Reporting Standard for Smaller Entities (FRSSE). The adoption of this standard represents a change in accounting policy and the comparative figures have been restated accordingly as described in more detail in note 24

Compliance with accounting standards

The accounts are prepared in accordance with applicable United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), which have been applied consistently (except as otherwise stated)

Basis of consolidation

The consolidated accounts include the results of the company and its group undertakings. No profit and loss account is presented for the company as permitted by section 408 of the Companies Act 2006

Turnover

Turnover represents amounts receivable for services net of VAT

Depreciation

Tangible fixed assets are stated at cost less depreciation. Depreciation is provided at rates calculated to write off the cost less estimated residual value of each asset over its expected useful life, as follows

Leasehold improvements	over the lease term
Computer equipment	33% on cost
Fixtures, fittings and equipment	25% on cost

Goodwill

Goodwill arising on acquisitions is written off in equal annual instalments over the directors' estimate of its useful economic life of 20 years

Leasing

Rentals payable under operating leases are charged against income on a straight line basis over the lease term

Investments

Fixed asset investments are stated at cost less provision for diminution in value

Pensions

The group operates a defined contribution scheme for the benefit of its employees. Contributions payable are charged to the profit and loss account in the year they are payable

Deferred taxation

Deferred taxation is provided in respect of material taxation deferred by timing differences between the treatment of certain items for taxation and accounting purposes. The deferred tax balance has not been discounted

Foreign currency translation

Monetary assets and liabilities denominated in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are recorded at the rate ruling at the date of the transaction. All differences are taken to the profit and loss account

Share-based payments

The group has issued share options to certain directors and employees. These must be measured at fair value and recognised as an expense in the profit and loss account with a corresponding increase in equity. The fair value of the options is estimated at the date of grant using the Black-Scholes Option Pricing Model. The fair value is charged as an expense in the profit and loss account over the vesting period and adjusted each year to reflect the expected and actual level of vesting

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE ACCOUNTS (CONTINUED)

FOR THE YEAR ENDED 31 MARCH 2013

2 Turnover

The turnover and operating profit for the year were derived from the group's principal activities. The geographical analysis of turnover is as follows

	Group 2013 £	Group 2012 £
United Kingdom	9,492,558	6,824,139
Other European Union	3,223,816	3,226,570
Rest of the World	1,457,074	188,549
	<u>14,173,448</u>	<u>10,239,258</u>
	=====	=====

3 Operating Profit

Operating profit is stated after charging

	Group 2013 £	Group 2012 £
Auditors' remuneration	31,900	20,160
Directors' emoluments	1,921,931	1,655,926
Amortisation of goodwill	323,892	322,994
Depreciation of tangible fixed assets	32,806	33,468
Loss on disposal of tangible fixed assets	1,519	72
Operating lease rentals - property	84,260	84,260
	<u>=====</u>	<u>=====</u>

4 Interest receivable and similar income

	Group 2013 £	Group 2012 £
Bank interest received	1,484	1,560
Other interest received	-	524
	<u>1,484</u>	<u>2,084</u>
	=====	=====

5 Interest payable and similar charges

	Group 2013 £	Group 2012 £
Other interest paid	2,898	647
	<u>=====</u>	<u>=====</u>

6 Tax on profit on ordinary activities

	Group 2013 £	Group 2012 as restated £
Based on the profit for the year		
UK corporation tax	659,183	511,323
Foreign tax	75,677	53,337
Total current tax charge	<u>734,860</u>	<u>564,660</u>
Deferred tax credit	(165,449)	(22,280)
	<u>569,411</u>	<u>542,380</u>
	=====	=====

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE ACCOUNTS (CONTINUED)

FOR THE YEAR ENDED 31 MARCH 2013

6	Tax on profit on ordinary activities (continued)	Group 2013	Group 2012
		£	£
	Factors affecting the tax charge for the year		
	Profit on ordinary activities before taxation	1,797,335	1,350,738
		=====	=====
	Profit on ordinary activities before taxation multiplied by standard rate of UK corporation tax of 24% (2012 26%)	431,417	349,195
		-----	-----
	Effects of		
	Non deductible expenses	208,020	102,450
	Depreciation added back	84,039	92,088
	Capital allowances	(4,022)	(7,445)
	Other tax adjustments	(13,254)	(24,121)
	Tax losses utilised	(23,383)	(20,055)
	Unused tax losses carried forward	15,339	63,486
	Foreign tax adjustments	36,705	9,063
		303,444	215,466
		-----	-----
	Current tax charge for the year	734,860	564,660
		=====	=====
7	Directors' remuneration	Group 2013	Group 2012
		£	£
	Remuneration for qualifying services	1,914,041	1,646,238
	Company pension contributions to defined contribution schemes	7,890	9,688
		1,921,931	1,655,926
		=====	=====
	Remuneration disclosed above included the following amounts paid to the highest paid director		
	Remuneration for qualifying services	287,500	255,739
	Company pension contributions to defined contribution schemes	3,047	2,760
		=====	=====
8	Employees		
	Number of employees	Group 2013	Group 2012
	The average monthly number of employees (including directors) during the year was	Number	Number
	Administrative	3	3
	Sales	59	51
		62	54
		=====	=====
	Employment costs	2013	2012
		£	as restated £
	Wages and salaries	6,003,108	4,419,704
	Social security costs	810,500	595,933
	Other pension costs	21,672	19,825
	Costs of share options	718,843	96,040
		7,554,123	5,131,502
		=====	=====

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE ACCOUNTS (CONTINUED)

FOR THE YEAR ENDED 31 MARCH 2013

9	Dividends		Group 2013 £	Group 2012 £
	Ordinary interim paid		424,957 =====	- =====
10	Intangible Assets – Group			
	Cost		Goodwill £	Total £
	At 1 April 2012		6,480,064	6,480,064
	Additions in the year		(7,064)	(7,064)
	At 31 March 2013		6,473,000 =====	6,473,000 =====
	Amortisation			
	At 1 April 2012		635,503	635,503
	Charge for the year		323,892	323,892
	At 31 March 2013		959,395 =====	959,395 =====
	Net Book Value			
	At 31 March 2013		5,513,605 =====	5,513,605 =====
	At 31 March 2012		5,844,561 =====	5,844,561 =====
11	Tangible Assets – Group			
		Leasehold Improvements	Plant and Machinery	Total
	Cost	£	£	£
	At 1 April 2012	37,523	157,443	194,966
	Additions in the year	-	26,951	26,951
	Disposals in the year	-	(13,721)	(13,721)
	At 31 March 2013	37,523 =====	170,673 =====	208,196 =====
	Depreciation			
	At 1 April 2012	20,777	112,573	133,350
	Charge for the year	7,505	25,302	32,807
	Eliminated on disposals	-	(11,341)	(11,341)
	At 31 March 2013	28,282 =====	126,534 =====	154,816 =====
	Net Book Value			
	At 31 March 2013	9,241 =====	44,139 =====	53,380 =====
	At 31 March 2012	16,746 =====	44,870 =====	61,616 =====

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE ACCOUNTS (CONTINUED)

FOR THE YEAR ENDED 31 MARCH 2013

12 Investments – Group

The subsidiary undertakings, the results of which are included within the consolidated accounts, are as follows

Subsidiary Undertakings	Country of Incorporation	Principal Activity
Alpha Financial Markets Consulting Limited	UK	Management and consultancy
Alpha Financial Markets Consulting (France) SA	France	Management and consultancy
Alpha Financial Markets Consulting Inc	USA	Management and consultancy
Alpha Financial Markets Consulting (Luxembourg) SARL	Luxembourg	Management and consultancy
Tomtom Consultants Limited	UK	Management and consultancy
AFMC Employee Trustee Limited	UK	Dormant company

13 Investments – Company

Subsidiary Undertakings

Cost
£

As at 1 April 2012 as previously reported

Alpha Financial Markets Consulting Limited	8,277,500
Alpha Financial Markets Consulting (France) SA	81,933
Alpha Financial Markets Consulting Inc	145,957
Alpha Financial Markets Consulting (Luxembourg) SARL	203,141
Tomtom Consultants Limited	784,284
	<u>9,492,815</u>

Prior period adjustment

Alpha Financial Markets Consulting Limited	96,040
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At 1 April 2012 as restated	<u>9,588,855</u>
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Additions in the year

Alpha Financial Markets Consulting (Luxembourg) SARL	20,500
Alpha Financial Markets Consulting Limited	718,843
	<u>739,343</u>

At 31 March 2013	<u>10,328,198</u>
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At 31 March 2012 as restated	<u>9,588,855</u>
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	Shares held	% of shares held
Alpha Financial Markets Consulting Limited	275,000	100
Alpha Financial Markets Consulting (France) SA	97,500	65
Alpha Financial Markets Consulting Inc	10,000	100
Alpha Financial Markets Consulting (Luxembourg) SARL	300,000	100
Tomtom Consultants Limited	100	100
	<u>=====</u>	<u>=====</u>

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE ACCOUNTS (CONTINUED)

FOR THE YEAR ENDED 31 MARCH 2013

14	Debtors	Group 2013 £	Company 2013 £	Group 2012 as restated £	Company 2012 £
	Trade debtors	4,921,145	-	2,467,150	-
	Other debtors	270,855	18,443	155,571	14,600
	Prepayments and accrued income	827,684	63,554	767,924	90,569
	Amounts owed by subsidiary undertakings	-	225,024	-	145,423
		<u>6,019,684</u>	<u>307,021</u>	<u>3,390,645</u>	<u>250,592</u>
		=====	=====	=====	=====

Other debtors include rent deposits amounting to £50,280 (2012 £50,280) which are recoverable after more than one year

15	Creditors amounts falling due within one year	Group 2013 £	Company 2013 £	Group 2012 £	Company 2012 £
	Trade creditors	612,670	2,040	344,132	-
	Amounts owed to subsidiary undertakings	-	181,713	-	343,902
	Current corporation tax	330,069	23,575	375,369	5,190
	Other taxes and social security	740,052	-	456,039	12,877
	Other creditors	505,886	86,875	1,535,475	175,626
	Accruals and deferred income	1,459,244	16,025	747,555	-
		<u>3,647,920</u>	<u>310,229</u>	<u>3,458,570</u>	<u>537,595</u>
		=====	=====	=====	=====

16	Creditors amounts falling due after one year	Group 2013 £	Company 2013 £	Group 2012 £	Company 2012 £
	Other creditors	-	-	70,000	70,000
		=====	=====	=====	=====

17 Deferred tax asset

The deferred tax asset (included in other debtors, note 14) is made up as follows

Group
£

Balance at 1 April 2012 as previously reported	(7,051)
Prior period adjustment	23,050
Balance at 1 April 2012 as restated	<u>15,999</u>
Profit and loss account	165,449
Balance at 31 March 2013	<u>181,448</u>
	=====

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE ACCOUNTS (CONTINUED)

FOR THE YEAR ENDED 31 MARCH 2013

17 Deferred tax asset (continued)

The deferred taxation provision is provided in the accounts as follows

	2013	2012
	£	as restated £
Accelerated capital allowances	(5,976)	(7,051)
Other timing differences	187,423	23,050
	<u>181,447</u>	<u>15,999</u>
	=====	=====

18 Group Pension Contributions

The group operates a money purchase pension scheme for the benefit of certain of its directors and employees. The assets of the scheme are held separately from those of the group in an independently administered fund. Contributions during the period amounted to £21,672 (2012: £19,825).

The number of directors accruing benefits within the scheme in the year was 4 (2012: 4).

19 Share-based payment transactions

The group operates a general employee share-option scheme for the benefit of certain directors and employees. The scheme has been in operation since November 2007.

Options granted under the scheme typically have a life of 10 years and vest within three years from the grant date, the vesting period varies depending upon the purpose of and the conditions attached to the individual options awarded. The vesting conditions associated with the share options granted are generally either performance or service related. All awards under the scheme are equity-settled.

The following share options were outstanding under the scheme:

	2013 Number of options	Weighted average exercise price (pence)	2012 Number of options	Weighted average exercise price (pence)
At the beginning of the year	61,888	592	15,838	452
Granted in the year	50,980	348	46,050	640
Exercised in the year	(5,500)	11	-	-
At the end of the year	107,368	506	61,888	592
Options exercisable at the end of the year	107,368	506	61,888	592

During the year, 5,500 share options were exercised in respect of Ordinary 'ANV' shares of 10p each. The estimated weighted average share price at the date of exercise was £18.77.

Weighted average remaining contractual life of outstanding options

	2013 £	2012 £
Outstanding options (number)	30,504	30,504
Weighted average exercise price (pence)	5,970,623	6,042,498
Weighted average remaining contracted life (years)	3.293	2.608
Range of exercise prices for share options outstanding at the end of the year (pence)	10p - 1,981p	10p - 1,981p

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE ACCOUNTS (CONTINUED)

FOR THE YEAR ENDED 31 MARCH 2013

19 Share-based payment transactions (continued)

In accordance with FRS 20 'Share-Based Payment', the fair value of each of the share options has been calculated by applying the Black-Scholes Option Pricing Model to the estimated share price on the grant date of the option

The model inputs were the relevant share price at grant date, the exercise price as stated in the option agreement, expected volatility of 25%, no expected dividends, an option life based on the best estimate of the expected vesting period and a risk-free interest rate of 3%

To allow for the effects of early exercise, the option life is based on an estimate of the option's expected life rather than its contractual life

Volatility has been determined based on historical volatility in the estimated share price

The following share options were granted in the year

Class of shares	Ordinary 'A' share of 10p 23-Oct-12	Ordinary 'ANV' share of 10p 23-Oct-12	Ordinary 'UK' share of 10p 23-Oct-12	Ordinary 'ANV' share of 10p 05-Feb-13
Date of grant				
Number of options granted	5,500	35,255	8,750	1,475
Exercise price (pence)	10p	10p	1,981p	10p
Estimated share price at grant date	1,877p	1,877p	3,115p	2,760p
Fair value of option at grant date	1,877p	1,877p	3,158p	2,760p
Life of option	0.7 year	0.7 year	0.7 year	0.4 year

The total expense recognised, in the profit and loss account for the year, arising from share-based payment transactions was as follows

	2013 £	2012 as restated £
Expense arising from equity-settled share-based payment transactions	718,843 =====	96,040 =====

20 Operating Lease Commitments

At 31 March 2013 the group had annual commitments under non-cancellable operating leases as follows

	Group 2013 £	Group 2012 £
Expiring In two to five years	84,260 =====	84,260 =====

21 Called up Share Capital

	2013 £	2012 £
Allotted, Issued and Fully Paid		
305,043 Ordinary 'A' Shares of 10p each	30,504	30,504
5,970,623 Ordinary 'B' Shares of £1 each	5,970,623	6,042,498
32,933 Ordinary 'ANV' Shares of 10p each	3,293	2,608
1,685 Ordinary 'E' Shares of 10p each	17	-
100,000 Ordinary 'Lux' Shares of 10p each	10,000	-
250,000 Ordinary 'USA' Shares of \$0.10 each	15,946	-
	6,030,383 =====	6,075,610 =====

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE ACCOUNTS (CONTINUED)

FOR THE YEAR ENDED 31 MARCH 2013

21 Called up Share Capital (continued)

On 15 May 2012, the company issued 200 Ordinary 'E' 10p shares for cash consideration at par
 On 26 June 2012, the company issued a further 1,485 Ordinary 'E' 10p shares for cash consideration at par
 On 3 July 2012, the company issued 250,000 Ordinary 'USA' \$0 10 shares for cash consideration at par
 On 27 November 2012, the company issued 1,350 Ordinary 'ANV' 10p shares for cash consideration of at par
 On 7 December 2012, the company issued 100,000 Ordinary 'Lux' 10p shares for cash consideration of 41p per share
 On 28 March 2013, the company issued a further 5,500 Ordinary 'ANV' 10p shares for cash consideration of 11p per share

On 29 May 2012, the shareholders approved the repurchase and subsequent cancellation of 55,000 Ordinary 'B' shares of £1 each for a total cash consideration of £55,000

On 26 March 2013, the shareholders approved the repurchase and subsequent cancellation of a further 16,875 Ordinary 'B' shares of £1 each for a total cash consideration of £16,875

22 Statement of movements on reserves - Company

	Profit and Loss Account £	Share Premium Account £	Other Reserves £
Balance at 1 April 2012 as previously reported	3,102,905	339	-
Prior period adjustment	-	-	96,040
Balance at 1 April 2012 as restated	3,102,905	339	96,040
Profit for the financial year	872,931	-	-
Purchase of own shares	(71,875)	-	71,875
Premium on shares issued during the year	-	31,055	-
Movement during the year	-	-	718,843
Dividends paid	(424,957)	-	-
Balance at 31 March 2013	3,479,004	31,394	886,758
	=====	=====	=====

Other reserves comprise a capital redemption reserve of £71,875 (2012 £Nil) and a share-based payment reserve of £814,883 (2012 £96,040 as restated)

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE ACCOUNTS (CONTINUED)

FOR THE YEAR ENDED 31 MARCH 2013

23 Statement of movements on reserves - Group

	Profit and Loss Account £	Share Premium Account £	Other Reserves £
Balance at 1 April 2012 as previously reported	1,133,772	339	-
Prior period adjustment	(72,990)	-	96,040
Balance at 1 April 2012 as restated	1,060,782	339	96,040
Profit for the financial year	1,191,897	-	-
Purchase of own shares	(71,875)	-	71,875
Premium on shares issued during the year	-	31,055	-
Movement during the year	-	-	718,843
Dividends paid	(424,957)	-	-
Balance at 31 March 2013	1,755,847	31,394	886,758

Other reserves comprise a capital redemption reserve of £71,875 (2012 £Nil) and a share-based payment reserve of £814,883 (2012 £96,040 as restated)

24 Prior period adjustment

In relation to the accounting and disclosure for share based payments, exemptions were available to and adopted by the group in prior years under the Financial Reporting Standard for Smaller Entities (FRSSE). For the current and immediately preceding years, the group breached small company thresholds and is no longer able to take advantage of these exemptions.

Consequently, adjustments have been made to the results of the prior period affecting the balance sheet and profit and loss account as follows:

- Deferred tax credit was understated by £23,050
- Share option costs were understated by £96,040

The balance sheet and profit and loss account of the prior period have been restated in this period to reflect the required adjustments.

25 Reconciliation of movements in shareholders' funds

	2013 £	2012 as restated £
Profit for the financial year attributable to group members	1,227,925	808,358
Dividends paid	(424,957)	-
	802,968	808,358
Decrease in minority interest	(27,563)	-
Proceeds from issue of shares	57,703	60,951
Purchase of own shares	(71,875)	-
Share-based payment transactions	718,843	96,040
Net addition to shareholders' funds	1,480,076	965,349
Opening shareholders' funds	7,388,857	6,423,508
Closing shareholders' funds	8,868,932	7,388,857

ALPHA FINANCIAL MARKETS CONSULTING GROUP LIMITED

NOTES FORMING PART OF THE ACCOUNTS (CONTINUED)

FOR THE YEAR ENDED 31 MARCH 2013

26 Control

The group has been controlled throughout the year by Mr N Kent, a director and majority shareholder

27 Related party relationships and transactions

During the year, the group paid dividends to close family members of the directors amounting to £266,071 (2012 £Nil)